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Psychology of Negotiation

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Emotional Preparedness in Negotiation: Overcoming Anxiety and Overconfidence for Optimal Outcomes

As we've discussed this quarter, negotiation is a process that benefits from preparation, strategic thinking, adaptability, and a balance of cooperation and competition. But, psychological barriers, particularly emotions like anxiety and overconfidence, can significantly influence negotiation outcomes. While rationality or technical skill is often preached for maximizing outcomes in negotiation, emotions play an important role in shaping decision-making, risk assessment, and interpersonal interactions. Anxiety and overconfidence represent two points on an emotional spectrum in negotiation, each presenting unique challenges to achieving optimal agreements. Anxiety, often stemming from uncertainty and fear of negative outcomes, can impair cognitive processing and lead to risk-averse decision-making (Brooks & Schweitzer, 2011). State anxiety, which I will focus on as opposed to trait anxiety, is not necessarily predictable, making it difficult to address through preparation alone (Eysenck, 1992). On the other hand, overconfidence can cause negotiators to underestimate their counterpart's position, leading to impasses or suboptimal agreements (Swift & Moore, 2011). Overconfidence often manifests as egocentrism – negotiators overestimate the importance of their own interests and underestimate those of the other party (Chambers & De Dreu, 2014). This egocentric bias results in misunderstandings, conflicts, and less satisfying agreements because negotiators fail to

recognize the true interests of their interlocutors. While researchers like Neale and Bazerman have found that simply warning negotiators of the issue of overconfidence can improve outcomes, we've also seen that priming negotiators to consider or predict their interlocutor's position can lead to reactive egotism (Epley et al., 2006). For example, in Epley et al.'s study, participants who considered others' perspectives claimed they deserved less but ultimately requested more resources, which suggest that even well-intentioned preparation can sometimes backfire in behavior. This raises the question, how effective is emotional preparedness in addressing these psychological barriers?

In this paper, I will explore whether emotional preparedness—rather than just awareness—influences optimal negotiation outcomes, specifically focusing on the roles of anxiety and overconfidence. While preparation is often key to successful negotiation, its effectiveness in addressing unpredictable emotional states like anxiety is unclear. Similarly, while overconfidence can be managed through awareness, it is not clear how to strike the right amount of confidence. By examining the relationship between these emotional states and negotiation outcomes, this paper aims to provide insights into whether emotional preparation is helpful for overcoming psychological barriers and maximizing outcomes in negotiations.

Anxiety's impact on outcomes is actually pretty well-documented. Research by Brooks and Schweitzer (2011) highlights the detrimental effects of anxiety on negotiation behavior, showing that it can lead to worse outcomes. As previously mentioned, anxiety, characterized by uncertainty, high arousal, and negative valence, often arises in response to threats, like the fear of undesirable outcomes or the unpredictability of the negotiation process. This emotional state can drain working memory, decrease self-confidence, and impair performance, making it difficult for negotiators to think clearly and act strategically (Eysenck, 1992). For example, anxious

negotiators may adopt a heightened risk attitude that causes anxiety, causing them to settle for less favorable terms to avoid potential losses (Brooks & Schweitzer, 2011).

Still these results are complicated by the fact that not all negotiators are equally affected by anxiety. Brooks and Schweitzer (2011) found that individuals with high self-efficacy—the belief in one’s ability to succeed in a specific situation—are less susceptible to the harmful effects of anxiety. This suggests that emotional preparation, like confidence-building, can play a critical role in mitigating anxiety’s negative impact. Confidence here is essentially reversing the effects of anxiety by turning negative outcome expectations into positive ones – simply believing in one’s ability for success. One promising strategy for managing anxiety is reappraisal, where individuals reinterpret their anxiety as excitement. Brooks (2014) found that reappraising anxiety as excitement improved performance in tasks requiring stamina and persistence. This approach is particularly effective because anxiety and excitement are both high-arousal emotions, making it easier to shift from one to the other, rather than shifting to a low-arousal emotion like calmness. For instance, simply stating “I am excited” out loud can help individuals reappraise their anxiety, leading to improved performance and increased confidence (Brooks, 2014).

On the opposite end of the emotional spectrum, overconfidence can also hinder negotiation outcomes, though its effects are more nuanced. Overconfidence often manifests as egocentrism, where negotiators overestimate the importance of their own interests and underestimate those of the other party (Chambers & De Dreu, 2014). This egocentric bias leads to misunderstandings and conflicts because negotiators fail to recognize the true interests of their counterparts. For example, Chambers and De Dreu (2014) found that negotiators with vested interests tend to perceive their counterpart’s interests as conflicting with their own, even when no conflict exists; this can result in an impasse and lack of discovery of common ground.

Additionally, overconfidence can also lead to “insufficient information search”, as negotiators may assume they already know the other party’s reservation price or priorities. Swift and Moore (2011) found that overconfident negotiators often fail to explore the full range of possible agreements, leading to biased perceptions of the bargaining zone. This lack of information can be particularly damaging in integrative negotiations, where the goal is to create value for both parties. Furthermore, as in Epley et. al’s (2006) reactive egoism paper, seeking out perspectives on your negotiation partner or believing you know another side's interests or position doesn’t necessarily positively impact negotiation outcomes and may cause negotiators to act even more egocentrically.

However, overconfidence is not always detrimental and raising your confidence in a negotiation, like as a response to anxiety, can be beneficial. In high-stakes negotiations where alternatives are limited (e.g. divorce, strikes, wars), overconfidence can provide a psychological boost, allowing negotiators to feel empowered to assert their wants (Swift & Moore, 2011). For instance, in situations where negotiators have no, or an unideal, BATNA, overconfidence may help them maintain a strong position at the bargaining table. While anxiety and overconfidence are often studied in isolation, their interplay in negotiation is an important area of research. These two emotional states represent opposite ends of the spectrum—anxiety is rooted in fear and uncertainty, while overconfidence often masks fear with a strong front—yet both can harm optimal negotiation outcomes if not managed effectively.

As previously discussed, anxiety is characterized by a focus on negative outcome potential, which often leads to risk-averse behavior and lower self-confidence (Brooks, 2014). Anxious negotiators may feel they have more to lose, particularly if they have a weak BATNA, which may lead them to settle for less favorable terms to avoid the perceived risk of impasse

(Maaravi & Heller, 2014). However, this risk aversion can be mediated by increasing confidence. Or, at least to mitigate the negative effects of being perceived as or acting anxious, one can try reappraisal to at least change their behavior: presenting a confident display even if they lack a confident belief. On the other hand, overconfidence can serve as a defense mechanism against anxiety, particularly in high-pressure situations. Swift and Moore (2011) suggest that overconfident negotiators may use their confidence to mask underlying fears or insecurities, allowing them to project strength and assertiveness. However, this strategy can backfire and create egocentric bias if it leads to unrealistic demands or a failure to recognize the other party's interests. This egocentric bias can result in misunderstandings and conflicts, when negotiators fail to recognize the real interests of their counterparts.

So, confidence has its benefits and consequences, the challenge lies in finding the right balance between confidence and realism, as excessive overconfidence can lead to impasse, costly conflicts, or damaged relationships. As Kimberlyn Leary, Pillemer, and Wheeler (2013) point out, negotiation is inherently stressful, and preparation cannot always prevent emotional reactions. Instead, preparation can provide foresight into how one might feel during a negotiation, such as anticipating anger or frustration. While this anticipation may not prevent emotional reactions, it can prepare negotiators to manage their emotions more effectively when they arise. For example, knowing that a particular issue might trigger anger can help a negotiator prepare strategies to remain composed, such as taking a break or using reappraisal techniques. This aligns with Brooks' (2014) findings that reappraising anxiety as excitement can improve performance, suggesting that emotional regulation is not about suppressing emotions but rather about managing them in a way that enhances negotiation outcomes.

While the research on anxiety and overconfidence provides valuable insights into the emotional barriers to optimal agreements, there are several limitations that warrant further exploration. The research on overconfidence often focuses on its negative consequences, such as egocentrism and insufficient information search (Chambers & De Dreu, 2014; Swift & Moore, 2011). Future studies could investigate how overconfidence interacts with other emotional states, such as anxiety, and how negotiators can leverage confidence without falling into the trap of egocentrism.

Another limitation is the lack of research on the interplay between emotional preparedness and cognitive biases. Future research could explore how emotional preparedness, combined with cognitive bias training, can lead to more effective negotiation strategies. For instance, could training negotiators to recognize and regulate their emotional states help them avoid the pitfalls of both anxiety and overconfidence, or is cognitive bias training simply ineffective?

Overall, while the existing research provides a strong foundation for understanding the role of emotions in negotiation, there are significant gaps that need to be addressed. Future studies should focus on the dynamic interplay between anxiety and overconfidence, the long-term effects of emotional regulation techniques, and the role of contextual factors such as culture and situational complexity. By addressing these limitations, researchers can provide more nuanced insights into how negotiators can prepare emotionally to overcome psychological barriers and achieve optimal agreements.

REFERENCES

Brooks, Alison Wood. "Get Excited: Reappraising Pre-Performance Anxiety as Excitement." *Journal of Experimental Psychology: General*, vol. 143, no. 3, 2014, pp. 1144–1158, www.apa.org/pubs/journals/releases/xge-a0035325.pdf, <https://doi.org/10.1037/a0035325>.

Abstract: Individuals often feel anxious in anticipation of tasks such as speaking in public or meeting with a boss. I find that an overwhelming majority of people believe trying to calm down is the best way to cope with pre-performance anxiety. However, across several studies involving karaoke singing, public speaking, and math performance, I investigate an alternative strategy: reappraising anxiety as excitement. Compared to those who attempt to calm down, individuals who reappraise their anxious arousal as excitement feel more excited and perform better. Individuals can reappraise anxiety as excitement using minimal strategies such as self-talk (e.g., saying "I am excited" out loud) or simple messages (e.g., "get excited"), which lead them to feel more excited, adopt an opportunity mindset (as opposed to a threat mindset), and improve their subsequent performance. These findings suggest the importance of arousal congruency during the emotional reappraisal process.

Brooks, Alison Wood, and Maurice E. Schweitzer. "Can Nervous Nelly Negotiate? How Anxiety Causes Negotiators to Make Low First Offers, Exit Early, and Earn Less Profit." *Organizational Behavior and Human Decision Processes*, vol. 115, no. 1, May 2011, pp.

43–54, opim.wharton.upenn.edu/risk/library/WPAF2011-

04_AWB,MS_NervousNelly.pdf, <https://doi.org/10.1016/j.obhdp.2011.01.008>.

Abstract: Negotiations trigger anxiety. Across four studies, we demonstrate that anxiety is harmful to negotiator performance. In our experiments, we induced either anxiety or neutral feelings and studied behavior in negotiation and continuous shrinking-pie tasks. Compared to negotiators experiencing neutral feelings, negotiators who feel anxious expect lower outcomes, make lower first offers, respond more quickly to offers, exit bargaining situations earlier, and ultimately obtain worse outcomes. The relationship between anxiety and negotiator behavior is moderated by negotiator self-efficacy; high self-efficacy mitigates the harmful effects of anxiety.

Chambers, J. R., & De Dreu, C. K. W. (2014). Egocentrism drives misunderstanding in conflict and negotiation. *Journal of Experimental Social Psychology*, 51, 15–26.

<https://doi.org/10.1016/j.jesp.2013.11.001>

Abstract: A key barrier to conflict resolution is that parties exaggerate the degree to which the other side's interests oppose their own side's interests. Here we examine egocentrism as a fundamental source of such biased conflict perceptions. We propose that parties rely on their own interests and priorities when estimating those of the other side, and ignore the other side's true interests and priorities. Three experiments involving multi-issue negotiations provide strong evidence of such egocentric misperception. Participants judged their own important issues to be more important to their negotiation

opponent, regardless of their opponent's actual interests (Experiment 1). Furthermore, accuracy increased when attention was experimentally focused on the opponent's interests rather than their own (Experiment 2), and perceptions of the opponent's interests were more closely related to their own interests than to the opponent's actual interests (Experiment 3). In the discussion, we highlight the broader implications of the egocentrism account for other areas of conflict.

Epley, Nicholas, et al. "When Perspective Taking Increases Taking: Reactive Egoism in Social Interaction." *Journal of Personality and Social Psychology*, vol. 91, no. 5, 2006, pp. 872–889, <https://doi.org/10.1037/0022-3514.91.5.872>.

Abstract: Group members often reason egocentrically, believing that they deserve more than their fair share of group resources. Leading people to consider other members' thoughts and perspectives can reduce these egocentric (self-centered) judgments such that people claim that it is fair for them to take less; however, the consideration of others' thoughts and perspectives actually increases egoistic (selfish) behavior such that people actually take more of available resources. A series of experiments demonstrates this pattern in competitive contexts in which considering others' perspectives activates egoistic theories of their likely behavior, leading people to counter by behaving more egoistically themselves. This reactive egoism is attenuated in cooperative contexts. Discussion focuses on the implications of reactive egoism in social interaction and on strategies for alleviating its potentially deleterious effects.

Leary, Kimberlyn, et al. "Negotiating with Emotion." *Harvard Business Review*, 2013, hbr.org/2013/01/negotiating-with-emotion.

Abstract: Some people are practically phobic about going to the bargaining table. If their minimum needs are met, they'll sign on the dotted line just to end the stress of dealing with people who have different agendas and styles. But that can be an expensive aversion, the authors write. When you're facing an important negotiation, rigorous preparation—running the numbers, scouting the marketplace, developing a plan B—is essential. But it's only half the story. The truth is that your passions matter in real-life deal making and dispute resolution. You need to understand, channel, and learn from your emotions in order to adapt to the situation at hand and engage others successfully. You need to acknowledge your concerns and recognize your hot buttons. The authors studied 20 seasoned negotiators to explore their thoughts and feelings about the process. They invited their participants to find and combine pictures that metaphorically depicted those feelings and to describe in in-depth interviews the collages they'd created. Three reasons for the stressfulness of the negotiation experience emerged: lack of control, unpredictability, and the absence of feedback. This article includes a six-step warm-up exercise to help you prepare emotionally to negotiate effectively.

Maaravi, Yossi, and Ben Heller. "Buyers, Maybe Moving Second Is Not That Bad after All: Low-Power, Anxiety, and Making Inferior First Offers." *Frontiers in Psychology*, vol. 12, 31 May 2021, <https://doi.org/10.3389/fpsyg.2021.677653>. Accessed 20 Mar. 2022.

Abstract: The behavioral decision-making and negotiations literature usually advocates a first-mover advantage, explained the anchoring and adjustment heuristic. Thus, buyers, who according to the social norm, tend to move second, strive to make the first offer to take advantage of this effect. On the other hand, negotiation practitioners and experts often advise the opposite, i.e., moving second. These opposite recommendations regarding first offers are termed the Practitioner-Researcher paradox. In the current article, we investigate the circumstances under which buyers would make less favorable first offers than they would receive were they to move second, focusing on low power and anxiety during negotiations. Across two studies, we manipulated negotiators' best alternative to the negotiated agreement (BATNA) and measured their anxiety. Our results show that, when facing neutral-power sellers, weak buyers who feel anxious would make inferior first offers (Studies 1 and 2). When facing low-power sellers, weak buyers would make inferior first offers across all anxiety levels (Study 2). Our findings shed light on two critical factors leading to the Practitioner-Researcher paradox: power and anxiety, and offer concrete guidelines to buyers who find themselves at low power and highly anxious during negotiations.

Swift, Samuel A, and Don Moore. "Bluffing, Agonism, and the Role of Overconfidence in Negotiation." *Oxford University Press EBooks*, 28 Dec. 2012, pp. 266–278, <https://doi.org/10.1093/oxfordhb/9780199730858.013.0019>. Accessed 25 Nov. 2024

Abstract: This article investigates the impact of overconfidence on bargaining behavior, especially bluffing, and determines the conditions under which overconfident negotiators are advantaged or disadvantaged. Example of conflict resolution in the animal world is presented as an illuminating parallel to the decisions human negotiators make in pursuing the scarce resources they desire. Despite the problems produced by overconfidence in negotiation, it is possible that there are benefits of sufficient magnitude to offset the costs. A positive relationship between aspirations and outcomes is clearly noted. The formidable challenge to negotiators is to balance the advantages of confident behaviors with the liabilities of overconfident beliefs. The evidence of the benefits of overconfidence indicates that the behaviors associated with overconfidence, such as brazen requests and persistence, positively affect outcomes assuming that an agreement is reached.